profit increased just 6% year-on-year as input costs weighed on margins.

The pressure on profitability comes despite a resilient economy. GDP grew 7.8% in the April-June quarter, even amid geopolitical uncertainty and rising energy prices.

HUL's standalone net profit rose to ₹2,844 crore in the July-September quarter, from ₹2,690 crore in the year-ago period. Revenue increased 15% to ₹17,543 crore, from ₹15,263 crore. Underlying volumes (the number of packs sold) rose 7%, compared with 5% growth in the April-June quarter and flat volumes in July-September 2025. The sales uptick across FMCG companies is being driven by a low base, price increases and cuts in Goods and Services Tax across various categories, implemented in September 2025.

Yet, HUL's EBITDA (earnings before interest, taxes, depreciation and amortisation) margin fell 140 basis points to 22.6%, while total expenses rose 16%.

"In the evolving input cost environment, we took calibrated price increases to offset absolute costs while protecting consumer franchise, sustain volumes, and strengthen our market position. Alongside pricing, we also accelerated our savings agenda with a sharper focus on high-impact opportunities," said Niranjan Gupta, HUL's chief financial officer.

The maker of Bru coffee and Surf detergent remains upbeat about demand despite emerging pressures on the rural economy, with some areas facing drought after below-normal monsoon rainfall this year.

"Certainly, monsoon has been below normal. But today the impact of agriculture on GDP is relatively low. The question is what really happens to rural wages and there the MSP has been taken up by the government and there is a higher outlay to rural jobs scheme. So, there will be a cushioning of rural wages in the pockets where there is a challenge. Overall, we are continuing to see positive and resilient demand," noted Priya Nair, managing director and CEO. HUL's results and commentary reflect a broader industry trend: revenue growth remains strong, but commodity cost pressures are prompting price increases across portfolios.

The inflation data underscores those pressures. India's consumer price index (CPI) inflation reached 5.54% in September 2026, with food inflation at 7.74%. Wholesale inflation rose to 11.4% in the same month.

Prices of salt, tea, milk and other goods have risen in recent months as companies pass on higher costs to protect margins.

Sunil D'Souza, managing director and CEO of Tata

CLOUDY OUTLOOK
Price Hikes Ahead, Demand at Risk

- FMCG companies are reporting strong revenue growth
- But rising commodity prices amid the West Asia war are squeezing margins
- Companies continue to focus on premiumisation across portfolios, while also focusing on costs to support margins



- FMCG companies like Nestle India, Tata Consumer and Godrej Consumer Products have flagged inflationary concerns
- Companies are making calibrated price increases to partly offset higher input costs
- HUL raised prices by around 7.5% across its portfolio in July-September
- Companies may continue to take additional price increases in the quarters ahead, with prices of crude oil-linked commodities as well as other raw materials remaining elevated
- Aasif Malbari, the MD and CEO of Godrej Consumer, stated the inflationary impact was one of the highest in many years
- A potential slowdown in rural economy due to drought in several areas could also weigh on demand, although companies so far remain upbeat